



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2023/2024

**SECOND YEAR SECOND SEMESTER EXAMINATIONS FOR
THE DEGREE OF BACHELOR OF BUSINESS
ADMINISTRATION WITH INFORMATION TECHNOLOGY**

CITY CAMPUS - EVENING

BEC 202: INTERMEDIATE MACROECONOMICS

Date: 2nd May, 2024

Time: 5.30 - 8.30 pm

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer question ONE and any other THREE questions
- Marks will be awarded to candidates who demonstrate accuracy and clarity of presentation
- Calculators are allowed in the examination room



QUESTION ONE

- a). Suggest why economic growth should not be the only goal to pursue in economic stabilization. (6 marks)
- b). Explain the causes of unemployment in a developing economy like Kenya. (4 marks)
- c). Differentiate between Marginal Efficiency of Capital and Marginal Efficiency of Investment (4 marks)
- d). Given the following model $Y = C + I + G + Tr + (X - M)$ where
 $C = 200 + b(Y - T - tY + Tr)$, $I = 400$, $G = \bar{T} = 200$, $Tr = 100$, $X = 40$,
 $M = 20 + 0.2Y$, $b = 0.8$, $t = 0.25$ and Tr - transfer payment.

Required

- i). Find the equilibrium national income, Y . (4 marks)
- ii). From the equilibrium national income, compute the equilibrium consumption in the economy. (3 marks)
- e). Describe the quantitative measures of monetary control. (4 marks)

QUESTION TWO

- a). Suppose the life expectancy of a civil servant is 100 years, the retirement age is 65 years and his age at the start of working life is 18 years. If the annual income of the civil servant is Kshs. 200,000.
- i). Determine the civil servant's lifetime income. (3 marks)
- ii). Compute the civil servant's planned working-life consumption expenditure. (3 marks)
- iii). Compute the civil servant's lifetime savings. (3 marks)
- b). Identify any THREE criticisms leveled against Friedman's permanent income hypothesis. (6 marks)

QUESTION THREE

- a). Discuss the principles of a good tax system. (8 marks)

- b). Assume that due to persistent increases in fuel prices over the last few years the economy has moved into recession. Aggregate demand in the economy has greatly reduced and unemployment is on the increase. As an economist tasked with advising the government, explain using an illustration how you would use taxation as an expansionary fiscal policy to increase aggregate demand. (7 marks)

QUESTION FOUR

- a). Gross National Product (GNP) may NOT adequately measure human welfare in an economy. Explain. (6 marks)
- b). What are the causes of Balance of Payment disequilibrium? (6 marks)
- c). Given that $M = mH$, using demand deposit derive the money multiplier, m . (3 marks)

QUESTION FIVE

- c). Explain the meaning of Economic development and explain the characteristics of developing countries like Kenya. (9 marks)
- d). Discuss the key assumptions made by classical economists regarding the determination of income and employment. (6 marks)

QUESTION SIX

- a). Inflation has a dual effect on any economy in which it exists. Discuss. (9 marks)
- b). Discuss the statement that "there exists the trade-off between inflation and unemployment in an economy". (6marks)